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**IN THE CIRCUIT COURT OF COOK COUNTY, ILLINOIS**
**COUNTY DEPARTMENT, CHANCERY DIVISION**

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|---|---|---|
| **LUCAS GUARIGLIA, individually and derivatively on behalf of ROWBOAT CREATIVE, LLC, a Delaware limited liability company,** | ) | |
| **Plaintiff,** | ) | |
| **v.** | ) | **Case No. 2024 CH 00720** |
| **JOSEPH ZANGRILLI,** | ) | |
| **Defendant,** | ) | |
| **And** | ) | |
| **ROWBOAT CREATIVE, LLC,** | ) | |
| **Necessary Party Defendant.** | ) | |

## ANSWER TO VERIFIED COMPLAINT

Joseph Zangrilli ("Zangrilli") for his answer to the Verified Complaint filed by Lucas Guariglia ("Guariglia"), individually and derivatively on behalf of Rowboat, LLC ("Rowboat") states:

## NATURE OF THE CASE

1. Guariglia and Zangrilli are 50/50 partners in Rowboat, a limited liability company that provides screen printing and custom merchandising services, which they founded in 2006. Originated in their basement, and not anticipating the idea it would grow into the 60,000 square foot facility in Chicago's Logan Square industrial corridor with fifteen 15 employees that it is today, the two members never created a written operating agreement. Rather, they orally agreed, generally, to: (a) be the only LLC members, with 50/50 voting rights; (b) serve as the only two managers, creating a member managed operation; (c) take equal distributions; and (d) require consensus and approval from each partner for all major company decisions, including, but

not limited to, distribution of draws to the two members and operations.

**Answer:** Zangrilli admits the allegations in the first sentence of the paragraph. Zangrilli denies the LLC originated in their basement. Zangrilli denies that the LLC ever had a 60,000 square foot facility in Chicago's Logan Square industrial corridor. Zangrilli admits the LLC had fifteen 15 employees. Zangrilli admits the two members never created a written operating agreement. Zangrilli admits that he and they orally agreed to be the only LLC members with 50/50 voting rights. Zangrilli admits he and Guariglia serve as the only two managers, and thus denies that they created a member managed operation. Zangrilli denies he and Guariglia agreed to take equal distributions, but admits that initially the two of them agreed to take a minimum of Four Thousand Dollars ($,4000.00) per month. Zangrilli admits the parties required consensus and approval from each partner for all major company decisions, including operations. Zangrilli denies the parties required consensus and approval concerning the distribution of draws to the two members. Zangrilli denies all other allegations not admitted.

2. Contrary to that agreement, and in breach of fiduciary duties owed to Rowboat and Guariglia, Zangrilli has: (a) alienated customers, clients, vendors, staff, and business partners through his aggressive and unprofessional conduct; (b) refused to provide equal time investment in company management; (c) refused to engage Guariglia in the necessary high level decision making required to continue to effectively operate the company; (d) taken repeated and unauthorized distributions from the company, therein threatening company cashflow and ongoing viability; (e) continued to authorize and pay inappropriate employee overtime hours, bonuses, sick pay, and holiday pay despite not being necessary and again threatening company cashflow and ongoing viability; (f) self- appointed himself as the "primary admin" for the company's QuickBooks account, allowing him to take sole control of payroll processing and other company money; (g) instructed pertinent

managerial staff not to communicate with Guariglia; and (h) instructed Guariglia that he is not allowed to communicate with company staff. All of the foregoing has resulted in deadlock among the two members, leaving it not reasonably practical to carry on the company's business.

**Answer:** Zangrilli denies the allegations in this paragraph.

3. Guariglia brings this action against Zangrilli for dissolution of the company, removal of Zangrilli as a member/manager (in the alternative), breach of fiduciary duty, breach of the Rowboat Operating Agreement, and unjust enrichment (in the alternative). Seeking to pursue any derivative claims against Rowboat is not going to succeed and would otherwise be wholly futile, as Zangrilli is a 50% owner, is complicit in the illegal conduct described above and herein, has refused to cooperate with Guariglia or participate in seeking amicable resolution, and has ceased communicating with Guariglia.

**Answer:** Zangrilli admits Guariglia brings this action against Zangrilli for dissolution of the company, removal of Zangrilli as a member/manager (in the alternative), breach of fiduciary duty, breach of the Rowboat Operating Agreement, and unjust enrichment (in the alternative). Zangrilli denies the remaining allegations in this paragraph and denies Guariglia possesses any valid claims against Zangrilli or the LLC.

**PARTIES, JURISDICTION AND VENUE**

4. Rowboat is a Delaware limited liability company with its principal place of business in Chicago, Cook County, Illinois. Rowboat's members are Guariglia and Zangrilli.

**Answer:** Zangrilli admits the allegations in this paragraph.

5. Guariglia is a citizen and resident of North Carolina and is one of Rowboat's members and managers.

**Answer:** Zangrilli lacks knowledge sufficient to form a belief that Guariglia is a citizen and resident of North Carolina. Zangrilli admits the remaining allegation in this paragraph.

6. Zangrilli is a citizen and resident of Illinois and is one of Rowboat's members and managers.

**Answer:** Zangrilli admits the allegations in this paragraph.

7. Jurisdiction over Zangrilli is appropriate in Illinois pursuant to at least 735 ILCS 5/2-209(a) (2) and (7) because he committed a tortious act and/or contracted within this State.

**Answer:** Zangrilli denies the allegations in this paragraph.

8. Venue is appropriate in Cook County pursuant to 735 ILCS 5/2-101 because this is the county of residence of the defendant and/or the county in which the transaction or some part thereof occurred.

**Answer:** Zangrilli admits the allegations in this paragraph.

## FACTS COMMON TO ALL COUNTS

### *Company Formation*

9. Guariglia and Zangrilli founded Rowboat in 2006. Other than a Delaware articles of formation, the only other formation document is an application for admission to transact business in Illinois, which listed Guariglia and Zangrilli as the company's two managers who were to manage the business. A copy of that application is attached as Exhibit 1.

**Answer:** Zangrilli admits Guariglia and Zangrilli founded Rowboat in 2006. Zangrilli denies the second sentence of this paragraph. Zangrilli admits that a copy of the application for admission to transact business in Illinois is attached as Exhibit 1.

10. In the absence of a written agreement, Guariglia and Zangrilli orally agreed to be equal partners, with 50/50 voting rights as the company's only two members, serve as managers in a member managed LLC, take equal distributions, and require consensus and approval from each partner for all major company decisions, including, but not limited to, distribution of draws to the

two members.

**Answer:** Zangrilli denies the parties did not have a written agreement to operate the LLC. Zangrilli admits Guariglia and Zangrilli orally agreed to be equal partners, with 50/50 voting rights as the company's only two members and require consensus and approval from each partner for all major company decisions. Zangrilli denies the parties agreed to serve as managers in a member managed LLC, take equal distributions, and require consensus and approval from each partner for all distribution of draws to the two members. Zangrilli denies all other allegations in this paragraph.

11. Over the last nearly 20 years, Rowboat has grown substantially, primarily driven by Guariglia's efforts. Guariglia performs exceedingly more work for the business than Zangrilli, who has been content to receive member draws and distributions income without performance of equal high-level work, including Zangrilli stating he "trusted" Guariglia to do what was best for the company when asked repeatedly over years for business planning involvement, or insight on future plans for Rowboat.

**Answer:** Zangrilli denies the allegations in this paragraph.

12. In recent years, however, Zangrilli's actions, as detailed below, have been contrary to his fiduciary duties and agreement with Guariglia, causing extreme and detrimental harm to the company, including resulting in deadlock among its only two members, and leaving it in a state where it is no longer practical to continue the business operations in its current status.

**Answer:** Zangrilli denies the allegations in this paragraph.

**Harm to Company Reputation**

13. Zangrilli has had numerous aggressive altercations with company clients, senior level executives, vendors, as well as business partners, like banking institutions and its landlord, all

resulting in substantial harm to the company and its reputation.

**Answer:** Zangrilli denies the allegations in this paragraph.

14. Numerous clients have terminated their relationship with Rowboat and/or reduced their volume of business, while also posting negative online reviews, all due and/or relating to Zangrilli's combative treatment.

**Answer:** Zangrilli denies the allegations in this paragraph.

15. In addition, both JPMorgan Chase Bank and Fifth Third Bank have involuntarily closed Rowboat bank accounts based, upon information and belief, on Zangrilli's hostile and threatening behavior toward local bank branch employees. Guariglia had to solely work with JPMorgan Chase after Zangrilli was banned from Rowboat's local Chase Bank branch, to form an amicable and efficient bank transition, as well as ensuring Rowboat's Chase Bank company credit card and machine lease agreement were not closed. Again, in 2023, after Fifth Third involuntarily closed Rowboat's corporate account citing numerous instances of Zangrilli's aggressive and threatening behavior towards bank staff within a Fifth Third branch, Guariglia had to work to salvage the new relationship with Fifth Third Bank by opening a corporate account through a Fifth Third branch in Charlotte, North Carolina. Zangrilli was documented as a 50% owner of Rowboat, but was not permitted to be an account signee, or conduct transactions. In fact, Fifth Third banned Zangrilli from stepping foot on any Fifth Third property.

**Answer:** Zangrilli denies the allegations in this paragraph.

16. Further, Rowboat received a letter from the Director of Property Operations representing the building it leases space threatening to terminate Rowboat's lease based on numerous aggressive altercations Zangrilli had with other building tenants.

**Answer:** Zangrilli denies the allegations in this paragraph.

17. In another instance, Zangrilli became involved in a verbally aggressive altercation with hotel management and staff at a hotel in Fort Worth, Texas, prior to a company conference. Zangrilli ended up flying home and not attending the conference, wasting company funds and again harming the company reputation.

**Answer:** Zangrilli denies the allegations in this paragraph.

*Improper Use of Company Office*

18. Zangrilli also set up a full bedroom in Rowboat's office space, without discussion and in violation of its commercial lease, including building a wall so employees could no longer access that space.

**Answer:** Zangrilli denies the allegations in this paragraph.

19. Upon information and belief, Zangrilli began spending nights in the office with unknown women (upon information and belief having been kicked out of his marital residence).

**Answer:** Zangrilli denies the allegations in this paragraph.

20. After concern was brought to Guariglia's attention on separate occasions from Rowboat staff, one of Rowboat's vendors, and a current client of Rowboat, Guariglia confronted Zangrilli. In response, Zangrilli disconnected the Rowboat facility security cameras, cutting off access to Guariglia.

**Answer:** Zangrilli denies the allegations in this paragraph.

*Unauthorized Distributions*

21. Beginning in 2014, and continuing to present, Zangrilli has taken unannounced large draws and distributions, without consulting Guariglia, as agreed upon. The large payments created cashflow concerns for the company's ongoing operations.

**Answer:** Zangrilli denies the allegations in this paragraph.

22. Guariglia has communicated repeatedly to Zangrilli raising concerns about the unannounced draws and cashflow issues. However, Zangrilli has ignored Guariglia's communications and continued with these payments to himself.

**Answer:** Zangrilli denies the allegations in this paragraph.

*Interference with Bookkeeping*

23. In August 2022, Rowboat, with mutual agreement between Guariglia and Zangrilli, engaged Spark Business Consulting and accountant Stephanie Morin for corporate bookkeeping and professional accounting services.

**Answer:** Zangrilli admits the allegations in this paragraph.

24. Guariglia raised with Morin, as well as Rowboat's CPA Sheri Highland, his financial concerns for the company due in part to Zangrilli's continual unannounced and unapproved draws.

**Answer:** Zangrilli admits the allegations in this paragraph except that Zangrilli denies he took continual unannounced and unapproved draws.

25. As a result of these communications, Zangrilli began harassing Morin, Highland, and additional Spark Business Consulting team members, including accusations of withholding information from him.

**Answer:** Zangrilli denies the allegations in this paragraph.

26. He further instructed Morin, and Spark staff, not to perform services for the company.

**Answer:** Zangrilli denies the allegations in this paragraph.

27. As a result, Spark terminated its contract and relationship with Rowboat, leaving it without professional corporate bookkeeping due to Zangrilli's unprofessional behavior, and his refusal to allow anyone other than himself to conduct the corporate bookkeeping and payroll services.

**Answer:** Zangrilli denies the allegations in this paragraph.

28. In addition, Zangrilli has also accused Rowboat's corporate CPA Sheri Highland of withholding information from him and instructed her to no longer perform work or consultation for Rowboat. Sheri Highland has been an integral part of Rowboat's financial team and responsible for Rowboat's corporate tax filings, as well as Guariglia and Zangrilli's personal tax filings for more than 5 years.

**Answer:** Zangrilli denies the allegations in the first sentence of this paragraph. Zangrilli admits the allegations in the second sentence of this paragraph.

*Refusal to Work With Guariglia*

29. Zangrilli has begun refusing to deal with Guariglia on the phone unless all conversations are recorded and will only communicate with him via text message. There have been numerous occasions of Zangrilli illegally recording phone conversations without the consent of Guariglia, or the other individuals on the call.

**Answer:** Zangrilli admits the allegations of the first sentence in this paragraph. Zangrilli denies the remaining allegations in this paragraph.

30. Zangrilli has refused to address Guariglia's request, stemming from Guariglia's frustration with Zangrilli's conduct, as well as the lack of defined roles (particularly in light of Guariglia performing the bulk of the work), to find a law firm to assist with the drafting of a formal operating agreement.

**Answer:** Zangrilli cannot respond to the allegation that "Zangrilli has refused to address Guariglia's request," since Guariglia did not allege any facts allowing Zangrilli to respond. To the extent that Zangrilli must respond to the above matter, he denies the allegation. Zangrilli cannot respond to an allegation concerning "Guariglia's frustration with Zangrilli's conduct," since he lacks knowledge or information sufficient to form a belief about the truth of the allegation involving Guariglia's state of mind. Zangrilli denies that he and Guariglia lacked defined roles. Zangrilli denies that Guariglia performed the bulk of the work. Zangrilli denies that Guariglia sought to find a law firm to assist with the drafting of a formal operating agreement. Zangrilli denies the remaining allegations in this paragraph.

31. After Guariglia performed thorough research to find a neutral law firm for consideration, Zangrilli claimed any firm would be "on Guariglia's side," and he has refused to perform or present any searches for a firm he was comfortable dealing with.

**Answer:** Zangrilli denies the allegations in this paragraph.

32. Zangrilli also responded inappropriately, and has also refused to partake in a session with a corporate counselor that Guariglia sought out in hopes of addressing and finding resolution to their matters.

**Answer:** Zangrilli denies the allegations in this paragraph.

33. Recently, Zangrilli had an outburst at a company meeting, repeatedly yelling at Guariglia to "shut up" in front of staff when Guariglia began addressing a business slowdown and the need for managers to mitigate overtime and unnecessary expenses among employees. Guariglia was forced to end the meeting and apologize to each staff member for Zangrilli's erratic and unprofessional behavior.

**Answer:** Zangrilli admits he told Guariglia to "shut up" in front of staff, but otherwise denies the allegations in this paragraph. Zangrilli affirmatively states that he asked Guariglia to stop talking due to Guariglia's erratic and unprofessional behavior.

34. Zangrilli has also refused to provide equal time investment in the company, leaving Guariglia to perform all of the high-level operations positions essentially by himself, including, but not

limited to, accounts receivable, accounts payable, all vendor relationships and communications, marketing, sales, new business generation, customer service, order input, order quotes, sourcing of blank goods, outsource production, and sales tax payments.

**Answer:** Zangrilli denies the allegations in this paragraph.

35. Zangrilli has also refused to engage Guariglia in the necessary high-level decision making required to continue to operate the company.

**Answer:** Zangrilli denies the allegations in this paragraph.

36. Zangrilli further has instructed pertinent managerial staff not to communicate with Guariglia, and has instructed Guariglia that he may not contact "Zangrilli's staff."

**Answer:** Zangrilli denies the allegations in this paragraph.

*Unauthorized Access of Guariglia's Email*

37. Zangrilli has also improperly and without authorization accessed Guariglia's company email, including reading private correspondence.

**Answer:** Zangrilli denies the allegations in this paragraph. Zangrilli affirmatively states that Guariglia asked Zangrilli to review Guariglia's email.

38. Zangrilli has subsequently made known to Guariglia that he has personal confidential financial information, that he learned through the unauthorized access of Guariglia's email, regarding Guariglia and his wife.

**Answer:** Zangrilli denies the allegations in this paragraph. Zangrilli affirmatively states that Guariglia asked Zangrilli to review Guariglia's email.

39. Zangrilli has also repeatedly threatened to gain unauthorized access to Guariglia's additional personal emails.

**Answer:** Zangrilli denies the allegations in this paragraph. Zangrilli affirmatively states that

Guariglia asked Zangrilli to review Guariglia's email.

*Control of Company Finances*

40. Zangrilli has self-appointed himself as the "primary administer" of QuickBooks, through which Rowboat pays is employee salaries. This intentional self-appointed position protects Zangrilli from having this role removed without court order or mutual agreement.

**Answer:** Zangrilli admits he was the "primary administer" of QuickBooks, through which Rowboat pays is employee salaries, but denies he was self-appointed. Zangrilli denies all other allegations in this paragraph.

**Answer:** Zangrilli denies the allegations in this paragraph.

41. Through this administrator role, Zangrilli has been able to continue to process unannounced and unilateral self-draws/distributions in 2023, and into 2024, without Guariglia's approval.

**Answer:** Zangrilli denies the allegations in this paragraph.

42. In demanding that Zangrilli cease such payments, Guariglia also requested that Zangrilli relinquish control as "primary administrator," but he refused.

**Answer:** Zangrilli admits the allegations in this paragraph. Zangrilli affirmatively states that Guariglia established one or more separate bank accounts under his sole control that he used to divert corporate assets.

*Cash Flow Concerns*

43. Zangrilli has also repeatedly authorized and paid for inappropriate employee overtime, bonuses, sick pay, holiday pay, and other company expense, despite Guariglia repeatedly raising the company's current cash flow concerns.

**Answer:** Zangrilli denies the allegations in this paragraph.

44. The company currently has a large negative cash flow, substantial debt to vendors and

creditors, along with a high burn rate that threatens the continuing viability of operations.

**Answer:** Zangrilli admits the allegations in this paragraph.

45. Reflecting the cash flow concerns, Guariglia recently wrote a personal check to Rowboat from his own bank account for $15,000, in addition to ceasing all personal draws/distributions since November 2023 to date.

**Answer:** Zangrilli denies the allegations in this paragraph. Zangrilli affirmatively states that Guariglia recently wrote a personal check to Rowboat from his own bank account for $15,000 to repay the company for his defalcation.

46. Guariglia still has not been reimbursed in excess of $45,000.

**Answer:** Zangrilli lacks knowledge sufficient to form a belief that Guariglia has the entitlement to receive any reimbursements.

*Lawyer Involvement*

47. Having exhausted his patience with Zangrilli, and concerned about the ongoing viability of the company, including as to cash flow, Guariglia retained legal counsel and sent correspondence to Zangrilli on March 16, 2023, notifying that the "day-to-day working relationship with [Zangrilli] ha[d] become untenable," and again inviting that the parties negotiate and execute a formal operating agreement. A copy of that correspondence is attached as Exhibit 2. However, Zangrilli ignored the communication.

**Answer:** Zangrilli admits the allegations in this paragraph.

48. In May 2023, Guariglia's lawyers sent another correspondence to Zangrilli raising the unilateral distribution of company funds, again without response.

**Answer:** Zangrilli admits that in May 2023, Guariglia's lawyers sent another correspondence to Zangrilli raising the unilateral distribution of company fund. Zangrilli denies that he did not respond to the letter, although he did not respond to the attorney. Zangrilli denies he took unilateral distribution of company funds and otherwise denies the allegations in this paragraph.

49. On June 13, 2023, Guariglia's lawyers sent another communication to Zangrilli, again noting that "all distributions need to be agreed upon and equal between the two members," and that "unilateral withdrawals from the company will not be tolerated going forward." Zangrilli ignored the communication.

**Answer:** Zangrilli admits he received the June 13, 2023 communication. Zangrilli denies that he did not respond to the communication, although he did not respond to the attorney.

50. On June 22, 2023, Guariglia's lawyers sent Zangrilli another communication, raising issues relating to ongoing concerns about the company's financial status, and requesting that Zangrilli agree to not use the company credit card for unauthorized expenses and stop making unauthorized expenses:

**From:** Horvath, Seth
**Sent:** Thursday, June 22, 2023 2:09 PM
**To:** Jessica Lesko <jessical@blaisenitschkelaw.com>; Thomas Nitschke <tjnitschke@blaisenitschkelaw.com>; Michael Sanderson <msanderson@blaisenitschkelaw.com>
**Cc:** Tilghman, Richard <rhtilghman@nixonpeabody.com>
**Subject:** RE: Rowboat - Zangrilli/Gauriglia - Request for Phone Call

Dear Counsel:

We are in the process of discussing with our client the terms of a buyout offer for Mr. Zangrilli's ownership interest in Rowboat Creative LLC. We expect to be in a position to reach out to you regarding the offer by early next week.

Meanwhile, our client is concerned about protecting the company's financial well-being and would like to reach an agreement regarding draws, and credit-card usage, while the discussions regarding the buyout are pending.

Mr. Guariglia's immediate concerns are (1) ensuring that the company is able to meet its payroll obligations this coming Tuesday, as well as on future occasions; (2) ensuring that the company is able to make its upcoming rent payment on July 1; and (3) ensuring that the company is able to make required payments to its vendors.

To that end, please let us know if, between now and July 31, 2023, Mr. Zangrilli will (1) agree not to incur any charges on Rowboat's corporate credit card without first consulting with Mr. Guariglia and (2) agree not to process any distributions to himself from the company's funds unless the distributions are mutually agreed upon and equal. Mr. Guariglia will reciprocate.

These arrangements are in the best interests of the company and both owners.

Please let us know your client's position regarding this proposal by close of business tomorrow so we can communicate it to Mr. Guariglia.

Thank you,

NP
**Seth A. Horvath**
**Partner**
sahorvath@nixonpeabody.com
T/ 312.977.4443 M/ 312.714.7988 F/ 844.560.8137

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Zangrilli again ignored the communication.

**Answer:** Zangrilli admits he received the June 13, 2023 communication. Zangrilli denies that he did not respond to the communication.

51. On June 28, 2023, Guariglia’s lawyers sent Zangrilli another correspondence offering to buy out his interests in Rowboat. A copy of that correspondence is attached as Exhibit 3. Zangrilli again ignored the communication.

**Answer:** Zangrilli admits the allegations in this paragraph except he denies he ignored the communication..

52. In November 2023, Guariglia sent communication to Zangrilli regarding using company funds to pay for his personal health insurance. No other employee, nor Guariglia, have their personal insurance premiums paid for by Rowboat. Zangrilli again ignored the communication and continued processing additional payments to himself for his personal health insurance premiums using company funds.

**Answer:** Zangrilli admits that in November 2023, Guariglia sent communication to Zangrilli regarding using company funds to pay for his personal health insurance. Zangrilli denies the remaining allegations in this paragraph.

53. On December 20, 2023, Guariglia sent another communication to Zangrilli regarding use of company funds and asking him to work collaboratively to address the company’s financial situation. Zangrilli again ignored the communication.

**Answer:** Zangrilli denies the allegations in this paragraph.

54. On December 21, 2023, Guariglia, through counsel, sent another communication to Zangrilli, which stated in pertinent parts:

> withdrawals, I request you promptly send it to me. In 2023, your unauthorized draws from the Company are approximately $30,000 more than the money paid to Lucas Guariglia, without including Mr. Guariglia’s 2023 lump sum payment of $15,000 to the Company or the additional personal expenses you continue to have paid by the Company. Without approval or discussion, you continue to process payments for your personal health insurance premiums by the Company on a bi-monthly basis. No one else at the Company is receiving health insurance premium contributions other than you.

> Due to your belligerent conduct and unauthorized withdrawals of funds, you have jeopardized the existence of the Company. It has become evident that the continued operation of the Company is a significant concern due to your actions, conduct and failure to work with Mr. Guariglia in a professional manner. The business relationship is no longer viable. As such, decisions need to be made concerning how to reduce the debts to the vendors, pay down the credit card obligation and try to maximize as much of the value of the Company as possible.

A copy of this correspondence is attached as Exhibit 4. Zangrilli again failed to respond.

**Answer:** Zangrilli admits receiving the correspondence and admits he did not respond. Zangrilli otherwise denies the allegations in this paragraph.

55. On December 27, 2023, Zangrilli processed over $7,000 in Christmas bonuses to staff without consulting with, or obtaining approval, from Guariglia, and in the face of repeated concerns raised over cashflow.

**Answer:** Zangrilli after several attempts to communicate with Guariglia on December 27, 2023, Zangrilli processed over $7,000 in Christmas bonuses to staff in conformance with the company's history. Zangrilli otherwise denies the allegations in this paragraph.

56. In response, on December 29, 2023, Guariglia sent another correspondence to Zangrilli addressing the improper payments and immediate steps needed to protect cash flow. Zangrilli again failed to respond.

**Answer:** Zangrilli admits receiving a text message on December 29, 2023 regarding the bonuses paid to employees and unilaterally demanding various matters regarding the company's operations. Zangrilli otherwise denies the allegations in this paragraph.

57. On January 5, 2024, Guariglia sent another correspondence concerning the company's financial state and actionable steps. This time, Zangrilli responded, speciously accusing Guariglia of having stolen money from the company.

**Answer:** Zangrilli admits that on January 5, 2024, Guariglia sent another correspondence concerning the company's financial state and actionable steps. Zangrilli admits he responded with specific instances showing Guariglia stole money from the company. Zangrilli otherwise denies the allegations in this paragraph.

58. On January 9, 2024, without discussion or notice, Zangrilli surreptitiously logged into the Fifth Third bank account illegally using Guariglia's credentials and effected funds transfer to the Rowboat checking account attached to the company's online QuickBooks. Zangrilli then proceeded to process excess payroll payments, including paying sick and holiday pay to all staff without Guariglia's approval.

**Answer:** Zangrilli admits he processed payroll, but otherwise denies the allegations in this paragarph.

59. Seeking to prevent the outlay of further cashflow, on January 11, 2024, Guariglia instructed Fifth Third to deny Zangrilli any further payroll payments. Guariglia further re-deposited into the company's account $1,623.10 in payroll he received.

**Answer:** Guariglia instructed Fifth Third to deny Zangrilli any further payroll payments and re-deposited his payroll check. Zangrilli otherwise denies the allegations in this paragraph..

60. On January 17, 2024, Guariglia, through counsel, sent correspondence, which states in pertinent part:

> We represent Lucas Guariglia, who, along with you, is a member and manager for Rowboat Creative, LLC. **Should you have present counsel, please immediately forward this communication to her/him. Also, please provide her/his contact information**. On numerous occasion over several months in 2023 (including April 3, 2023, May 26, 2023, June 13, 2023, June 22, 2023, June 28, 2023, December 1, 2023, and December 21, 2023), counsel for Mr. Guariglia sent you correspondence: (a) detailing your various breaches of, at minimum, the fiduciary duties you owe Mr. Guariglia and Rowboat as a member and manager, (see, e.g., Wright v. Phillips, 2020 Del. Ch. LEXIS 196, *17 ("Delaware's common law fiduciary duties apply to managers and managing members of Delaware LLCs")), including, but not limited to, unauthorized withdrawals and conversion of company funds, damaging client and vendor relationships, and refusing to engage in operating the business,

and placing your interests ahead of the business and your "partner"; (b) outlining how it was not reasonably practicable to continue carrying on the business given your actions; and (c) making multiple propositions for resolution of the current deadlock you have created, including a proposed buyout. You have ignored responding substantively to those communications. Your conduct continues to harm the company, irreparably.

**This communication informs you that should resolution of the deadlock not be reached by January 26, 2024, in line with prior proposals made or otherwise, Mr. Guariglia has instructed us to pursue all available legal remedies, including a lawsuit to dissolve the company, appoint a receiver to run the business and/or remove you from doing so. The days of tolerating your reckless, damaging, and belligerent conduct have ended.**

A copy of that correspondence is attached as Exhibit 5. Zangrilli again ignored the communication.

**Answer:** Zangrilli admits receiving the correspondence. Zangrilli otherwise denies the allegations in this paragraph.

61. On January 20, 2024, Guariglia sent communication again imploring against payment of unauthorized overtime, as well Zangrilli's use of QuickBooks to issue unauthorized self-payments:

**From:** **Lucas Guariglia** lucas@rowboatcreative.com
**Subject:** REDUCTION OF OVERTIME
**Date:** January 20, 2024 at 12:27 PM
**To:** Joe Zangrilli joe@rowboatcreative.com, jfzangrilli@gmail.com

LG

Joe,
I am following up again concerning the urgency to mitigate staff overtime. The current cashflow and order volume cannot support additional wages.

This has been brought to your attention multiple times, which you have repeatedly ignored and refused to address to reduce necessary overhead for Rowboat to survive. To date, Filiberto has not been informed on this necessary change when asked. I have asked him to speak with you again to clarify and implement, as this needs to be effective immediately.

All staff will need to maintain only 40hrs per week (for FT staff) unless required overtime is mutually agreed upon and cashflow can support. All staff are still remaining clocked-in during lunch, as well as clocking in early each day resulting in OT daily. We can no longer allow this.

In addition, as you know, and in light of the financial concerns, I have not been taking owner salary and draws (which are required to be equal and agreed upon). However, in contravention of that, you have repeatedly paid yourself just within the past year tens of thousands of dollars in purported distributions, along with salary (despite not performing work). Rowboat's current debt obligations to vendors, creditors, and lease must remain the primary financial focus. All NET terms are currently at risk for removal and freeze from all distributors.

Your end-around tactic of utilizing QuickBooks Payroll to illegally transact unauthorized self-payments, as well as additional payments to staff wages which have not been discussed or agreed upon must cease immediately.

Should you continue to again ignore the above and refuse to work proactively with me to preserve company funds, I will be left with no choice but to take direct action, in my business judgment, in an effort to protect the best interests and financial health of Rowboat.

Thank you.

Lucas Guariglia
cell: 847.828.0944
office: 773.675.BOAT (2628)
CEO I Co-founder

Rowboat Creative
custom screen printing I embroidery I merchandising

Zangrilli yet again ignored this communication.

**Answer:** Zangrilli admits receiving this communication. He otherwise denies the allegations in this paragraph.

*Loss of Top Vendor Services*

62. In late January, 2024, Rowboat's top supplier/vendor revoked its NET terms due to a large outstanding balance. Accordingly, Rowboat is no longer able to order any goods until sizable payments are made. Even then, terms would need to be reapplied, which the vendor stated will not be granted at this point due to length of overdue payments. Further, the vendor stated that it is not currently charging interest on Rowboat's delinquent amounts, but reserve the right to do so before placing the account in collections.

**Answer:** Zangrilli lacks knowledge sufficient to form a belief concerning the allegations in this paragraph. Zangrilli affirmatively states that Guariglia did not communicate in January 2024 concerning the matter and otherwise denies the allegations in this paragraph.

63. The vendor has demanded a lump sum payment to re-open any orders, which Rowboat cannot make due to the current cashflow issues and ongoing large overhead Rowboat faces, including rent, payroll, and outstanding payroll taxes.

**Answer:** Zangrilli lacks knowledge sufficient to form a belief concerning the allegations in this paragraph. Zangrilli affirmatively states that Guariglia did not communicate in January 2024 concerning the matter and otherwise denies the allegations in this paragraph.

64. Rowboat's inability to order goods from this vendor will affect current orders that require vendor specific goods, as well as potential new orders.

**Answer:** Zangrilli lacks knowledge sufficient to form a belief concerning the allegations in this paragraph. Zangrilli affirmatively states that Guariglia did not communicate concerning the matter and otherwise denies the allegations in this paragraph.

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65. Rowboat currently has nearly $200,000 in account payables (with approximately $75,000 owed to the vendor), a looming ~$13,000 rent payment, ongoing payroll, and $9,499.62 in late payroll taxes, with only approximately $80,000 cash on hand.

**Answer:** Zangrilli lacks knowledge sufficient to form a belief concerning the allegations in this paragraph. Zangrilli affirmatively states that Guariglia did not allow Zangrilli to see financial information.

66. As a result of Zangrilli's refusal to communicate, resulting in member deadlock, the company cannot meaningfully address this, and the various other serious and numerous business decisions and actions that must be taken.

**Answer:** Zangrilli denies the allegations in this paragraph.

67. At a loss in the lack of responsiveness from his partner, and needing to immediately address the pressing issues with the company's financial state, Guariglia had no choice but to file this lawsuit.

**Answer:** Zangrilli denies the allegations in this paragraph.

**COUNT I**
**(Action for Statutory Corporate Dissolution)**

68. Guariglia realleges and incorporates paragraphs 1-67 as though fully set forth herein.

**Answer:** Zangrilli restates and incorporates his responses to paragraphs 1-67 as though fully set forth herein.

69. Pursuant to Delaware's Limited Liability Company Act, 6 Del. C. §18-802, "on application by or for a member or manager the Court of Chancery may decree dissolution whenever it is not reasonably practicable to carry on the business in conformity with a limited liability company agreement."

**Answer:** Zangrilli admits the allegations in this paragraph.

70. Zangrilli's conduct, including refusal to work, much less communicate, with Guariglia, his 50/50 partner, including that no business decisions are able to be made absent consultation and agreement by both members and managers, makes it not reasonably practicable to carry on Rowboat's business, warranting judicial dissolution.

**Answer:** Zangrilli denies the allegations in this paragraph.

71. This deadlock threatens the ongoing viability of the company, including as to its fifteen employees.

**Answer:** Zangrilli denies the allegations in this paragraph.

WHEREFORE, Joseph Zangrilli prays that the Court enter judgment in his favor and against Lucas Guariglia, award Joseph Zangrilli his attorneys' fees and costs; and grant other just relief.

**COUNT II**
**(Removal of Zangrilli as Member / Manager) (In the Alternative to Count I)**

72. Guariglia realleges and incorporates paragraphs 1-71 as though fully set forth herein.

**Answer:** Zangrilli restates and incorporates his answers to paragraphs 1-71 as though fully set forth herein.

73. The Delaware Limited Liability Company Act (6 Del. C. §18-306) allows a limited liability company agreement to provide for remedies for a member who fails to perform in accordance with the terms and conditions of any agreement, including penalties and consequences taking the form of that set forth under 6 Del. C. §18-502(c), including eliminating a member's interests and/or forcing a sale or forfeiture of that member's interest.

**Answer:** Zangrilli states that 6 Del. C. §18-306 provides:

**§ 18-306. Remedies for breach of limited liability company agreement by member.**

A limited liability company agreement may provide that:

(1) A member who fails to perform in accordance with, or to comply with the terms and conditions of, the limited liability company agreement shall be subject to specified penalties or specified consequences; and

(2) At the time or upon the happening of events specified in the limited liability company agreement, a member shall be subject to specified penalties or specified consequences.

Such specified penalties or specified consequences may include and take the form of any penalty or consequence set forth in § 18-502(c) of this title.

Zangrilli denies the allegations in this paragraph to the extent they vary from the terms of that section of the Delaware Code.

74. The Delaware Limited Liability Company Act (6 Del. C. §18-405) also allows a limited liability company agreement to provide for remedies for a manager who fails to perform in accordance with the terms and conditions of any agreement.

**Answer:** Zangrilli states that 6 Del. C. §18-405 provides:

**§ 18-405. Remedies for breach of limited liability company agreement by manager.**

A limited liability company agreement may provide that:

(1) A manager who fails to perform in accordance with, or to comply with the terms and conditions of, the limited liability company agreement shall be subject to specified penalties or specified consequences; and

(2) At the time or upon the happening of events specified in the limited liability company agreement, a manager shall be subject to specified penalties or specified consequences.

Zangrilli denies the allegations in this paragraph to the extent they vary from the terms of that section of the Delaware Code.

75. Zangrilli has acted against the best interests of Rowboat and its members, in derogation of his duties as a member and manager.

**Answer:** Zangrilli denies the allegations in this paragraph.

76. As a result of Zangrilli's conduct, including refusing to work with Guariglia in making decisions in the best interests of Rowboat, Rowboat is unable to effectively operate its business, and presents risk to the ongoing financial viability of the company, including sufficient funds to make necessary payments.

**Answer:** Zangrilli denies the allegations in this paragraph.

77. As a member and manager of Rowboat, Zangrilli owed, and continues to owe, to Rowboat and its members, including Guariglia, the fiduciary duties of loyalty, care, honesty, fidelity, and good

faith and fair dealing. These fiduciary duties include the obligation to act in conformance of the agreement reached with Guariglia as to how they would operate the business in a 50/50 manner.

**Answer:** Zangrilli admits that as a member and manager of Rowboat, Zangrilli owed, and continues to owe, to Rowboat and Guariglia, the fiduciary duties of loyalty, care, honesty, fidelity, and good faith and fair dealing. Zangrilli denies that Rowboat had any members other than Zangrilli and Guariglia. Zangrilli admits that his fiduciary duties include the obligation to act in conformance of the agreement reached with Guariglia as to how they would operate the business in a 50/50 manner, but denies that Guariglia has accurately alleged the terms of the agreement Zangrilli and Guariglia reached. Zangrilli denies all other allegations in this paragraph.

78. By his conduct, Zangrilli has breached his fiduciary duties to Rowboat and Guariglia.

**Answer:** Zangrilli denies the allegations in this paragraph.

79. The damage Zangrilli has caused, and continues to cause, including as to the ongoing viability of the company, is immeasurable and irreparable in the absence of injunctive relief, including because Zangrilli has unilaterally: (a) made distributions to himself without authorization; (b) authorized and provided payment for overtime work, resulting in continuing cash flow concerns; (c) destroyed Rowboat’s goodwill and business reputation; and (d) refuses to work or communicate with Guariglia, his 50/50 partner, resulting in deadlock.

**Answer:** Zangrilli denies the allegations in this paragraph.

80. Zangrilli’s conduct makes it not reasonably practicable to carry on Rowboat’s business with him in its current status.

**Answer:** Zangrilli denies the allegations in this paragraph.

81. Unless Zangrilli is preliminarily, and permanently restrained and enjoined, from breaching his

fiduciary duties, Rowboat and Guariglia will suffer irreparable and immeasurable damage.

**Answer:** Zangrilli denies the allegations in this paragraph.

82. To the extent that the award of any injunctive relief against Zangrilli is not fully successful and/or does not represent a full, complete and efficient remedy, Guariglia and Rowboat are entitled to an award of compensatory damages.

**Answer:** Zangrilli denies the allegations in this paragraph.

83. Zangrilli's conduct was committed willfully and intentionally and with actual malice. As such, and to deter Zangrilli from such willful and malicious behavior in the future, and to punish him for his violations of law, he should be ordered to pay Rowboat and Guariglia punitive damages in an amount no less than twice the compensatory damages suffered herein.

**Answer:** Zangrilli denies the allegations in this paragraph.

84. Injunctive relief is proper under the Delaware Limited Liability Company Act as is necessary and desirable to preserve a company's assets and to carry on the business of the company.

**Answer:** Zangrilli denies the allegations in this paragraph.

WHEREFORE, Joseph Zangrilli prays that the Court enter judgment in his favor and against Lucas Guariglia, award Joseph Zangrilli his attorneys' fees and costs; and grant other just relief.

**COUNT III**
**BREACH OF FIDUCIARY DUTY**
**(Guariglia, derivatively on behalf of Rowboat)**

85. Guariglia realleges and incorporates paragraphs 1-67 as though fully set forth herein.

**Answer:** Zangrilli restates and incorporates his answers to paragraphs 1-67 as though fully set forth herein.

86. Under Delaware (and Illinois) law, Zangrilli, as a member and manager of Rowboat, owed and owes to Rowboat and its members, including Guariglia, traditional fiduciary duties, including care,

loyalty, honestly, fidelity, and good faith and fair dealing.

**Answer:** Zangrilli admits the allegations in this paragraph. Zangrilli denies that he violated any fiduciary duties.

87. The duty of loyalty includes the obligation to act in the best interests of the company, to act fairly with members of the company, and to not cause reputational and other harm to the company, or waste company resources.

**Answer:** Zangrilli admits the allegations in this paragraph.

88. Zangrilli, as a member and manager of Rowboat, willfully and in bad faith breached his fiduciary duties to Rowboat and its members, through without limitation, causing the company to lose clients and business opportunities, causing the potential loss of the company's corporate lease, refusing to enter into an operating agreement, destroying relationships with banking institutions, interfering with company accountants ability and willingness to perform work, refusing to address the ongoing cash flow issues, continuing to allow unauthorized overtime and providing payments for the same, not communicating with Guariglia and therein preventing decision making, instructing managers not to speak with Guariglia, and making unauthorized self-payments for personal expenses and distributions to himself.

**Answer:** Zangrilli denies the allegations in this paragraph.

89. As a direct and proximate result, Rowboat, if harmed derivatively, and Guariglia, if harmed directly, has been damaged by: (a) loss of business opportunities; (b) loss of profits/revenue; (c) excess expenses through unauthorized overtime and payments associated therewith; and (d) unauthorized self-payments for personal expenses and distributions

**Answer:** Zangrilli denies the allegations in this paragraph.

90. To the extent Zangrilli was compensated for providing services for Rowboat, these amounts

should be disgorged and paid back to Rowboat, or otherwise accounted for, and paid back as disgorgement damages, including on the basis that Zangrilli should not be allowed to benefit from his wrongdoing.

**Answer:** Zangrilli denies the allegations in this paragraph.

91. The conduct of Zangrilli is particularly egregious in this case because it was done intentionally in furtherance of his own personal gain and, in part, deliberately concealed from Guariglia. Thus, punitive damages are appropriate, including those sufficient to recoup Guariglia's legal fees in bringing this action as provided by Illinois law.

**Answer:** Zangrilli denies the allegations in this paragraph.

WHEREFORE, Joseph Zangrilli prays that the Court enter judgment in his favor and against Lucas Guariglia, award Joseph Zangrilli his attorneys' fees and costs; and grant other just relief.

**COUNT IV**
**BREACH OF OPERATING AGREEMENT**
**(Guariglia, derivatively on behalf of Rowboat)**

92. Guariglia realleges and incorporates paragraphs 1-67 as though fully set forth herein.

**Answer:** Zangrilli restates and incorporates his answers to paragraphs 1-67 as though fully set forth herein.

93. Under Delaware law, 6 Del. C. §18-101(9), an operating agreement may be written, oral or implied.

**Answer:** Zangrilli states that 6 Del. C. §18-101(9) provides:

> "Limited liability company agreement" means any agreement (whether referred to as a limited liability company agreement, operating agreement or otherwise), written, oral or implied, of the member or members as to the affairs of a limited liability company and the conduct of its business. A member or manager of a limited liability company or an assignee of a limited liability company interest is bound by the limited liability company agreement whether or not the member or manager or assignee executes the limited liability company agreement. A limited liability company (including any protected series or registered series thereof) is not required to execute its limited liability company agreement. A limited liability company (including any protected series or registered series thereof) is bound by its limited liability company agreement whether or not the limited liability company (or any protected series or registered series thereof) executes the limited

liability company agreement. A limited liability company agreement of a limited liability company having only 1 member shall not be unenforceable by reason of there being only 1 person who is a party to the limited liability company agreement. A limited liability company agreement is not subject to any statute of frauds (including § 2714 of this title). A limited liability company agreement may provide rights to any person, including a person who is not a party to the limited liability company agreement, to the extent set forth therein. A written limited liability company agreement or another written agreement or writing:

a. May provide that a person shall be admitted as a member of a limited liability company, or shall become an assignee of a limited liability company interest or other rights or powers of a member to the extent assigned:

1. If such person (or a representative authorized by such person orally, in writing or by other action such as payment for a limited liability company interest) executes the limited liability company agreement or any other writing evidencing the intent of such person to become a member or assignee; or

2. Without such execution, if such person (or a representative authorized by such person orally, in writing or by other action such as payment for a limited liability company interest) complies with the conditions for becoming a member or assignee as set forth in the limited liability company agreement or any other writing;

b. Shall not be unenforceable by reason of its not having been signed by a person being admitted as a member or becoming an assignee as provided in paragraph (9)a. of this section, or by reason of its having been signed by a representative as provided in this chapter; and

c. May consist of 1 or more agreements, instruments or other writings and may include or incorporate 1 or more schedules, supplements or other writings containing provisions as to the conduct of the business and affairs of the limited liability company or any series thereof.

Zangrilli denies the allegations in this paragraph to the extent they vary from the terms of that section of the Delaware Code.

94. At the outset of Rowboat, Guariglia and Zangrilli orally agreed, generally, to be the only LLC members, with 50/50 voting rights, including serving as the only two managers, creating a member managed operation, splitting profits equally, and requiring consensus and approval from each partner for all major company decisions, including, but not limited to, distribution of draws to the two members.

**Answer:** Zangrilli admits at the outset of Rowboat, Guariglia and Zangrilli orally agreed, generally, to be the only LLC members, with 50/50 voting rights, including serving as the only two managers. Zangrilli denies he and Guariglia created a member managed operation. Zangrilli admits the parties required consensus and approval from each partner for all major company decisions, including operations. Zangrilli denies the parties required consensus and approval concerning the distribution of draws to the two members. Zangrilli denies all other allegations not admitted.

95. Guariglia has complied with all obligations under that agreement.

**Answer:** Zangrilli denies the allegations in this paragraph.

96. Zangrilli has repeatedly breached the agreement by, among other things, taking actions not approved by Guariglia, including making unauthorized distributions to himself.

**Answer:** Zangrilli denies the allegations in this paragraph.

97. As a direct and proximate result, ROWBOAT, if harmed derivatively, and Guariglia, if harmed directly, has been damaged.

**Answer:** Zangrilli denies the allegations in this paragraph.

WHEREFORE, Joseph Zangrilli prays that the Court enter judgment in his favor and against Lucas Guariglia, award Joseph Zangrilli his attorneys' fees and costs; and grant other just relief.

**COUNT V (IN THE ALTERNATIVE TO COUNT IV) UNJUST ENRICHMENT**
**(Guariglia, derivatively on behalf of Rowboat)**

98. Guariglia realleges and incorporates paragraphs 1-67 as though fully set forth herein.

**Answer:** Zangrilli restates and incorporates his answers to paragraphs 1-71 as though fully set forth herein.

99. Zangrilli has personally profited at the expense of Rowboat and its members by, among other things, undisclosed and unauthorized misappropriation of corporate assets, including distributions to himself.

**Answer:** Zangrilli denies the allegations in this paragraph.

100. By retaining these benefits at the expense of Rowboat and its members, Zangrilli has been unjustly enriched.

**Answer:** Zangrilli denies the allegations in this paragraph.

101. It would violate fundamental principles of justice, equity, and good conscience to allow Zangrilli to retain any benefits they received at the expense of Rowboat or its members.

**Answer:** Zangrilli denies the allegations in this paragraph.

102. As a result of the unjust enrichment of Zangrilli, Rowboat, if harmed derivatively, and Guariglia, if harmed directly, has been damaged.

**Answer:** Zangrilli denies the allegations in this paragraph.

WHEREFORE, Joseph Zangrilli prays that the Court enter judgment in his favor and against Lucas Guariglia, and grant other just relief.

**JOSEPH ZANGRILLI**

By: /s/ Gregory J. Jordan
One of His Attorneys

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COUNSEL FOR JOSEPH ZANGRILLI

**VERIFICATION**

Under penalties as provided by law pursuant to §1-109 of the Code of Civil Procedure, the undersigned certifies that the statements set forth in this instrument are true and correct, except as to matters therein stated to be in information and belief, and as to such matters the undersigned certifies as aforesaid that he verily believes the same to be true.

Joseph Zangrilli

## CERTIFICATE OF SERVICE

I certify that on July 24, 2024, I emailed Joseph Zangrilli's Answer to Verified Complaint to plaintiff's counsel:

Frederic A. Mendelsohn: fmendeloshn@burkelaw.com
Alexander. D. Marks: amarks@burkelaw.com

/s/ Gregory J. Jordan
Gregory J. Jordan